

1- JCE
- 3/7/04

West Bengal State Electricity Board
Bidyut Bhawan ; 6th Floor ; 'C' Block
Salt Lake City; Bidhannagar
Kolkata - 700091

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From : Member Secretary,
WBSEB

No : Comp/02

To : All Accounting Units

Date : 26th June, 2004

Sub : Disposal of non moving / slow moving / obsolete stock and scrap.

It has been reported that unserviceable inventory holding in each store unit of WBSEB has reached an alarmingly high level. Such holding is required to be reduced in order to improve the financial position of the Board. The unserviceable slow/non moving, obsolete inventories and scrap are required to be identified and disposed off in order to reduce the high inventory holding of the units. A guideline for disposal of such items of stock is stated below for scrupulous adherence.

1. Definition

(i) **Scrap** : The inventory classified categorywise as unserviceable due to fair/unfair wear and tear and beyond viable (both technical and commercial) repair and unserviceable cut-outs, damaged materials returned from sites, etc.

(ii) **Slow moving** : The inventory which is not being utilised for more than 2 years.

(iii) **Non moving** : The inventory which is not being utilised for more than 5 years.

(iv) **Obsolete Materials** : The inventory which is identified as not usable due to obsolescence.

2. Identification of non moving / slow moving / obsolete and scrap :

A Survey Committee shall be constituted in each Accounting Unit (Division, Circle, Zone and HQ) consisting of the Controlling Officer of the Unit, One more Technical Officer, Stores Officer or head store keeper (if Stores Officer is not available) and the heads of Accounts. The committee shall survey the stores on the basis of Store Verification Reports of all Stores under the unit. In addition, the Committee shall also visit the stores for identification of above categories of materials once in every six month. On the basis of Survey Reports submitted by the Committee, a list shall be prepared mentioning the material with its description, quantity, book value, market value (if available), Date of receipt of materials, condition of the materials in view of technical and commercial aspects, category of the materials (nonmoving/slow moving/obsolete or scrap), reserve price and remarks. The Survey Report is to be

WBSEB
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prepared in a groupwise and materialwise as far as practicable. The Survey Committee shall monitor the function of the base units under its administrative control and extend assistance to the base units for expeditious disposal of unserviceable inventory including scrap.

3. Disposal of Scrap

3.1 The good stock as noted in the QSL and PSL, declared as scrap considering its condition which is beyond viable (both technical and commercial) repair is required to be "Written Off", as such inventory is assigned with some cost appearing in the books of accounts of the Unit. However, if it is found that a good stock becomes scrap due to unfair wear and tear for negligence of Board's employees (e.g. clogged cement etc.) then the entire cost of such scrap at its original value shall be recovered from the concerned employee. The respective Head of Offices will exercise necessary powers of writing off delegated to them from time to time.

Such scrap shall be recorded in the Scrap Ledger with quantity (both in volume and weight) and reserve price. The scrap item for which no cost is assigned is also to be recorded in the Scrap Ledger along with its reserve price.

3.2 The scrap kept scatteredly in the Stores/ Supply Stations of an Accounting Unit shall be dumped centrally in the Divisional Store or any other store of the unit, as per direction of the concerned Controlling Officer.

3.3 The defective/unserviceable meters (single phase) declared as scrap must be crushed before disposal of such scrap.

3.4 The reserve price of the scrap shall be determined and finalised by the Survey Committee on the basis of present market value of the metals, main constituent (metal content) of the scrap and its condition. The M. G. Office at the end of each year shall provide such rate for each metal. However, such rate will be issued by the M. G. Office for the first time in the month of July, 2004.

3.5 The Survey Report shall be sent to the M. G. Office through the respective Zonal Managers or Chief Engineers. Transmission for disposal through M. G. and/or any other reputed agencies. The Survey Report must be complete in all respect.

4. Disposal of non-moving, slow moving and obsolete stock :

4.1 On the basis of report of the Survey Committee of the base unit identifying the non-moving, slow moving and obsolete items of inventories and after confirming that the inventory has no use in the base unit, the controlling officer of the base unit shall send the report to the Zonal Manager of the

pective Zone or Chief Engineer, Transmission for making wide circulation to all units of WBSEB for possible utilisation of such inventories within 1 month from the date of issuance of Survey Report.

4.2. If any response is received from a unit, then such inventories shall be transferred to the unit requiring it observing the prescribed procedures of the Board. In case no response from the other units of WBSEB is received for utilisation of such slow moving/non moving and obsolete materials, the Z. M. or the Chief Engineer (Transmission) shall send the Survey Report of such non moving/slow moving and obsolete stock to the M. G. Office for disposal of such inventories to outside parties within 2 months from the date of receipt of Survey Report from the base unit.

4.3. The reserve price of the above categories of inventories shall be determined by the Survey Committee on the basis of present market price, whether utilised earlier (if yes, for how many years), the present condition of the material (whether instantly useable, useable after minor repair or major repair), etc.

5. Power Transformers with capacity of 1 MVA and above shall be disposed off according to the existing system of disposal.

6. Accounting of such non moving/slow moving/obsolete stocks and scrap disposal has already been formulated and circulated vide Memo No. Accts/Comp/143/1532 dated 08.12.2003 (a copy of which is enclosed).

7. The guidelines for disposal of above items for Generating units shall be issued later on.

Sund 26/6/04
(S. K. Gupta)
Member-Secretary

Memo No. Accts/Comp/142/1834/1-650

Dated: 26/6/04
June, 2004

Distribution

Material Controller
W.B.S.E.B.
10th floor.